

Robert J. Feinstein
Bradford J. Sandler
Shirley S. Cho
Theodore S. Heckel, Sr.
PACHULSKI STANG ZIEHL & JONES LLP
1700 Broadway, 36th Floor
New York, New York 10019
Telephone: (212) 561-7700
Facsimile: (212) 561-7777
Email: rfeinstein@pszjlaw.com
bsandler@pszjlaw.com
scho@pszjlaw.com
theckel@pszjlaw.com

*Counsel to the Official Committee of
Unsecured Creditors*

**UNITED STATES BANKRUPTCY COURT
SOUTHERN DISTRICT OF NEW YORK**

In re:

SLEEP NUMBER CORPORATION, *et al.*,

Debtors.¹

Chapter 11

Case No. 26-11399 (KYP)

(Jointly Administered)

Re: Docket No. 429, 472

**SECOND STIPULATION WITH PREPETITION LOAN AGENT
EXTENDING COMMITTEE CHALLENGE
DEADLINE PURSUANT TO FINAL DIP FINANCING ORDER**

This second stipulation (this “Stipulation”) is entered into by and among: (a) the Official Committee of Unsecured Creditors (the “Committee”) of the above-captioned debtors and debtors in possession (collectively, the “Debtors”), (b) U.S. Bank National Association, as DIP Agent and Prepetition Loan Agent (“U.S. Bank”) and (c) the Debtors. The Committee, U.S. Bank and the Debtors are collectively referenced herein as the “Parties.”

¹ The Debtors’ names and last four digits of their respective employer identification numbers are as follows: Sleep Number Corporation (7886); Select Comfort Retail Corporation (9757); Select Comfort Canada Holding Inc. (4273); Select Comfort SC LLC (5901); and Sleep Number Health Corporation (2499). The Debtors’ mailing address is 1001 Third Avenue South, Minneapolis, MN 55404.

WHEREAS, on June 12, 2026, the Debtors filed voluntary petitions for relief under chapter 11 of title 11 of the United States Code before this Court.

WHEREAS, on June 23, 2026, the Office of the United States Trustee appointed the Committee in these cases pursuant to section 1102 of the Bankruptcy Code

WHEREAS, on July 21, 2026, the Court entered the *Final Order (I) Authorizing the Debtors to (A) Obtain Senior Secured Superpriority Postpetition Financing and (B) Use Cash Collateral, (II) Granting Liens and Providing Claims with Superpriority Administrative Expense Status, (III) Granting Adequate Protection to the Prepetition Secured Parties, (IV) Modifying the Automatic Stay, and (V) Granting Related Relief* [Docket No. 429] (the “Final DIP Order”).² The Final DIP Order, among other things, set a Challenge Deadline ending on July 31, 2026 by which the Committee could assert a Challenge Proceeding with respect to the Debtors’ Stipulations. *See* Final DIP Order ¶ 12(a) & n.5.

WHEREAS, under the Final DIP Order, the Challenge Deadline may be extended to “any such later date as (x) has been agreed to by the Debtors and the applicable DIP Agent or Prepetition Loan Agent or (y) has been ordered by the Court for cause upon a motion filed and served within any applicable period....” *Id.*

WHEREAS, on July 30, 2026, the Parties entered into a stipulation extending the Challenge Deadline as to the Committee through and including August 7, 2026 [Docket No. 472].

WHEREAS, in order to further extend the Challenge Deadline with respect to the Committee, the Parties have elected under the Final DIP Order to agree extend the Challenge Period by this Stipulation.

² Capitalized terms used but not defined herein shall have the meanings set forth in the Final DIP Order.

NOW, THEREFORE, the Parties, by and through their respective undersigned counsel, hereby stipulate and agree as follows:

1. The Challenge Deadline as to the Committee under the Final DIP Order is extended through and including **August 14, 2026**, with respect to any Challenge Proceeding that may be asserted solely by the Committee.

2. This Stipulation will be binding and effective upon execution by the Parties hereto. This Stipulation may not be amended or modified without the written consent of the Parties. This Stipulation may be executed in counterparts by facsimile or other electronic transmission, each of which will be deemed an original, and all of which when taken together will constitute one document.

3. Nothing in this Stipulation shall extend, toll, or otherwise modify the Challenge Deadline under the Final DIP Order for any party other than the Committee, and U.S. Bank hereby reserves all rights and defenses with respect to the extended Challenge Deadline as to any party other than the Committee.

4. The Court will retain jurisdiction over all matters related to this Stipulation and the Final DIP Order.

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Dated: August 6, 2026

PACHULSKI STANG ZIEHL & JONES LLP

/s/ Bradford J. Sandler

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Theodore S. Heckel, Sr.

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1700 Broadway, 36th Floor

New York, NY 10019

Telephone: (212) 561-7700

Facsimile: (212) 561-7777

bsandler@pszjlaw.com

rfeinstein@pszjlaw.com

scho@pszjlaw.com

theckel@pszjlaw.com

*Counsel for the Official Committee of Unsecured
Creditors*

[Signature Page to Challenge Extension Stipulation]

Dated: August 6, 2026

FAEGRE DRINKER BIDDLE & REATH LLP

/s/ James H. Millar

James H. Millar

Nicholas A. Argentieri

1177 Avenue of the Americas, 43rd Floor

New York, New York 10036

Telephone: (212) 248-3140

Facsimile: (212) 248-3141

james.millar@faegredrinker.com

nick.argentieri@faegredrinker.com

- and -

Michael R. Stewart

Adam C. Ballinger

Paige A. Naig

2200 Wells Fargo Center

90 S. 7th Street

Minneapolis, MN 55402

Telephone: (612) 766-7000

Facsimile: (612) 766-1600

michael.stewart@faegredrinker.com

adam.ballinger@faegredrinker.com

paige.naig@faegredrinker.com

*Counsel to U.S. Bank National Association, as
DIP Agent and Prepetition Loan Agent*

Dated: August 6, 2026
New York, New York

DAVIS POLK & WARDWELL LLP

/s/ Brian M. Resnick
450 Lexington Avenue
New York, New York 10017
Tel.: (212) 450-4000
Brian M. Resnick
Angela M. Libby
Stephen D. Piraino
Richard J. Steinberg
Sihui (Sophy) Ma
Mordechai Rivkin

*Proposed Counsel to the Debtors and Debtors in
Possession*